FMAA Cheat Sheet: Section A (General Accounting & Financial Management) and Section B (Financial Statement Analysis)

Built from the PRC e-books A.1–A.5 and B.1–B.3. Use the index to jump to a numbered box. QUC numbers are PRC quiz items. **Bold = the fact the exam turns on.** Orange = trap. Green = rule of thumb.

INDEX (keyword → box)

SECTION A

Three types of accounting (A1.1)

Type	Users	Standards	Focus
Financial	External: creditors, shareholders, investors, lenders, government	GAAP / IFRS; change over time, differ by country	Past; issued each period
Managerial	Internal decision makers	**None mandatory**; similar across countries; stable	**Past AND future; issued as needed**
Tax	Tax authorities	Local tax law	Beyond FMAA

QUC 12328: specific to managerial only = **reports prepared based on management needs**.

ICMA: accounting = identifying, classifying, measuring, recording, communicating, in monetary terms, financial transactions/events of an entity.

Forms of business (A1.2)

Form	Separate entity	Liability	Key facts
Sole proprietorship	No	Unlimited	Life = owner's life; one owner keeps all profit/loss
General partnership	No	All unlimited	Easy to form, even without intent; any change = new partnership
Limited partnership	By statute (LP certificate)	GP unlimited; LP limited	≥1 GP + ≥1 LP; **only GPs manage**; LP name not in firm name; LP interest ≈ security
LLP	Statutory filing	All limited except own malpractice	Professional services; all may manage
Corporation (C)	**Yes**	Limited	Unlimited life; shareholders elect board → board appoints mgmt; **double taxation**; public corps: SEC, PCAOB
S-corp	–	–	No corporate tax; **≤75 shareholders; one class of stock**
LLC / JV / Prof. corp / Nonprofit	LLC: limited liability + preferential tax (conditions). JV: 2+ parties, specific purpose, shared risk (QUC 11942). Prof. corp: licensed professionals only. Nonprofit: tax-exempt, surplus reinvested.		

Accounting equation & definitions
A1.3

Assets (Dr) = Liabilities (Cr) + Equity (Cr)

- **Asset**: probable future economic benefit obtained/controlled from past transactions.
- **Liability**: probable future sacrifice of economic benefits from present obligations from past transactions.
- **Equity**: residual interest in assets after liabilities = contributed capital + retained earnings.
- **Revenue/Expense**: inflows/outflows from **ongoing major or central operations**. **Gain/Loss**: from **peripheral or incidental** transactions (laptop maker: selling laptop = revenue; selling its machine above book value = gain).
- Journal = book of original entry (chronological). Ledger = book of final entry. General ledger = all accounts.

Principles
A1.4

- **Accrual** (GAAP/IFRS): revenue when earned, expense when incurred. Cash basis tolerated for small firms. Cash received before delivery = **liability** (TV paid Dec 4, delivered Jan 9 → revenue in Jan).
- **Conservatism**: recognize expenses/liabilities ASAP under uncertainty; revenue/assets only when assured. QUC 12322 choose solution **least likely to overstate assets/income** (or understate liabilities/expenses).
- **Consistency**: same policies period to period; change only when justified permanently.
- **Matching**: expenses in the period of the related revenue. QUC 317 catalogues printed Dec for Jan promo = deferred cost (matching). QUC 314 manufacturing labor expensed when the **product is sold**.
- **Accruals**: earned/incurred, no cash yet. **Deferrals**: cash moved, belongs to a future period. Depreciation = allocate tangible cost; amortization = allocate cost over periods consumed.

Normal balances
A2.1

Increase with Dr	Increase with Cr
Assets, expenses, losses, **contra-liability** (Discount on N/P), **contra-equity** (Treasury stock), owner drawings	Liabilities, equity, revenues, gains, **contra-asset** (Accum. depreciation, Allowance for doubtful debts), **adjunct to liability** (Premium on N/P)

Contra = opposite balance of what it reduces. Adjunct = same balance as what it adds to.

Accounting cycle (order is tested)
A2.2

1. Identify & measure
2. Journalize (date, Dr, Cr, equal amounts, description)
3. **Post** to ledger
4. Unadjusted trial balance (**not a statement**; only catches Dr ≠ Cr)
5. **Adjust**
6. Adjusted TB
7. Statements: IS → changes in equity → BS → CFS
8. **Close**
9. Post-closing TB (permanent accounts only)
10. **Reverse** (optional, start of next period, exact opposite of adjusting entry)

QUC 2638: **posting → adjusting → closing → reversing**. QUC 319: reversing entries are optional and are the exact opposite of prior adjustments.

BestPort totals: unadjusted TB 87,300 · adjusted TB 87,300 · post-closing TB 86,100 · NI 7,800.

Adjusting entries (4 kinds)
A2.3

Type	Entry
Accrued revenue	Dr Receivable / Cr Revenue → A↑ OE↑ (QUC 3294)
Accrued expense	Dr Expense / Cr Payable
Prepaid expense used	Dr Expense / Cr Prepaid
Unearned revenue earned	Dr Unearned revenue / Cr Revenue

QUC 2235: Dr Prepaid Property Taxes / Cr Property Tax Expense = recognizes a **prepaid (deferred) expense**.

Closing · permanent vs temporary
A2.4

```
Revenue             9,000
   Income Summary             9,000
Income Summary      1,200
   Rent Exp / Supplies Exp    1,200
Income Summary      7,800
   Retained Earnings          7,800
```

Permanent (real): all assets, liabilities, equity, **contra-assets** (QUC 12317: Allowance for doubtful accounts). **Temporary**: revenues, expenses, gains, losses, drawings/dividends, Income Summary.

Journal entry templates (BestPort)
A2.5

```
Owner invests cash       Dr Cash / Cr Capital
Prepay rent              Dr Prepaid Rent / Cr Cash
Buy asset for cash       Dr Equipment / Cr Cash
Cash for future service  Dr Cash / Cr Unearned Revenue
Buy on credit            Dr Supplies / Cr A/P
Land: cash + note        Dr Land / Cr Cash, Cr N/P
Pay note                 Dr N/P / Cr Cash
Service, cash            Dr Cash / Cr Revenue
Service, invoice         Dr A/R / Cr Revenue
Write-off (allowance)    Dr Allowance / Cr A/R
Recovery                 Dr A/R / Cr Allowance,
                         then Dr Cash / Cr A/R
Declare dividend         Dr Retained Earnings / Cr
Dividends Payable
Buy treasury stock       Dr Treasury Stock / Cr Cash
```

Users of financial statements
A3.1

Internal: management (plan/control, assess strength, allocate, financing), employees. External primary: **investors** (risk/return), **lenders/creditors** (ability to pay). Other: government/regulators, unions, advisors/rating agencies, stock exchanges, competitors, customers, public.

Balance sheet
A3.2

Helps assess: operating capability, capital structure/risk/creditworthiness, enterprise value, future cash flows, **liquidity** (time to convert to cash) and **financial flexibility** (alter amounts/timing of cash flows). QUC 1752 helps evaluate **economic resources and obligations**.

Limitations: historical cost (not fair value); estimates/judgments; omits unrecordable items (people); snapshot.

Subsequent events: conditions existing at BS date → **adjust**; conditions arising after (stock issue/split, pending combination, litigation from later event, fire/flood, later receivable losses) → **disclose only**.

Supplemental info: contingencies · accounting policies · contractual situations (covenants, leases, pensions, options) · post-BS events. Disclosure techniques: parenthetical, notes, cross-reference/contra items, supporting schedules.

Classification
A3.3

Current = within **1 year or operating cycle, whichever is LONGER**. Current assets in liquidity order: cash, marketable securities, receivables, inventories, prepaids. Then LT investments, PP&E (land not depreciated), intangibles, other assets (deferred charges, noncurrent receivables, special funds, advances to subsidiaries).
Current liabilities: payables, collections in advance, current portion of LTD. Long-term: bonds, LT notes, leases, pensions, deferred taxes, contingencies (warranties). Short-term debt with **intent + ability to refinance** long-term → long-term (see B1.9).
Equity: capital stock (par) · APIC · retained earnings (free / appropriated by board) · AOCI · less treasury stock. Disclose **authorized, issued, outstanding**.

Income statement
A3.4

```
Sales − discounts − returns      = Net sales
− Cost of sales                   = Gross profit
− Selling − G&A                   = Operating income
+ Other rev/gains − other exp/losses (interest, loss on
land)
                                  = Income before tax
− Income tax                      = Income, continuing
ops
± Discontinued ops (net of tax)   = Net income
```

- Uses: past performance, predict cash flows and risk, sustainable earnings. QUC 1751 assessing management's **efficient, profitable use of resources** = IS (not CFS).
- Limits: methods/estimates (quality of earnings); past-oriented; excludes unmeasurable items (some unrealized gains → OCI; brand).
- **Unusual/infrequent items** (write-downs, restructuring, FX, PP&E disposal, strikes, disasters, expropriation): before tax in Other; **not net of tax**; "extraordinary" no longer allowed.
- **Discontinued ops**: clearly distinguishable segment/product line; **net of tax**. NOT: part of a line, relocation, phasing out a product, technology change.
- QUC 2507 $500k employee inventory theft = **loss, separate line item**.
- **Change in estimate** (useful life, salvage, collectability QUC 2793, depreciation method): **prospective**, never retroactive, not an error.
- IS footnotes: depreciation detail, revenue recognition method, tax detail, EPS.

Statement of changes in equity
A3.5

Beginning ± prior-period adjustment + net income + shares issued − dividends declared = ending.

> Owner's equity NI: End equity = Beg + investments − withdrawals + NI. QUC 325 (270−171) = (210−120) + 72 − 75 + NI → NI = **12,000**.

Cash flow classification
A3.6

Operating	Investing	Financing
Customers, suppliers, employees, taxes; **interest PAID**; **interest & dividends RECEIVED**	Buy/sell PP&E, intangibles, other companies' securities; loans made to others & their collection (principal)	Issue stock; **repurchase treasury stock**; borrow/repay principal; **dividends PAID**

> QUC 6104 asset $5k = investing out, loan $10k = financing in · QUC 6106 only interest paid $250k is operating · QUC 1960 treasury stock = financing · QUC 1475 credit-card interest: equity ↓, operating outflow.

Purpose: liquidity (nearness to cash), **solvency** (meet liabilities as they mature; operating CF is key), financial flexibility. Limits: excludes non-cash items; classification judgment; historical. Sources: comparative BS, current IS, selected transaction data. **Only the indirect method is tested.**

Indirect method: net income → operating cash
A3.7

Item	Do
Non-cash expense (depreciation, amortization, impairment, bond-discount amortization)	**Add**
Non-cash revenue (undistributed equity-method income)	Subtract
Gain on PP&E sale / debt extinguishment	**Subtract**
Loss on same	Add
Operating asset ↑ (A/R, inventory, prepaids)	Subtract
Operating asset ↓	Add
Operating liability ↑ (A/P, accruals)	Add
Operating liability ↓	Subtract
Interest paid in cash; asset purchases	No adjustment

> QUC 1881: 60,000 + depreciation 5,000 + bond discount amort. 6,000 = **71,000** (interest 4,000 is cash: ignore).

Derive depreciation: ΔAccum. dep. + accum. dep. removed on disposal (cost − BV). Derive dividends: NI − ΔRetained earnings. Worked: NI 40,000 + dep 18,000 − gain 4,000 + ↓A/R 5,000 − ↑inv 10,000 − ↑prepaid 3,000 − ↓A/P 8,000 = **CFO 38,000**; investing −42,000; financing +11,000; Δcash +7,000.

Governance
A4.1

System by which organizations are directed and controlled; goal = long-term shareholder value while balancing stakeholders. Governance = framework; **risk management** (identify, assess, manage, control) and **control** are its components. **Agency problem**: owners (principals) vs managers (agents) → board monitors.

Internal control
A4.2

- Control = any action to manage risk and give **reasonable assurance** objectives are achieved. **Board = ultimate responsibility; management establishes and maintains.**
- **COSO**: process by board, management, personnel for reasonable assurance of (1) effective/efficient operations, (2) reliable financial reporting, (3) compliance.
- QUC 6450 ultimate objective of managerial control = **organizational effectiveness**. QUC 7645 cost ≤ benefit and not hindering efficiency = **reasonable assurance** (collusion, override, cost/benefit prevent absolute assurance).
- Strong IC: better decisions, protected assets, lower audit cost. Weak IC: theft, lost information, inefficiency, poor decisions, higher audit fees.
- Structure: centralized = standardized controls; clear reporting lines; large = sophisticated. Rigid (army) = least flexible, least risk; flat = flexible, risky.
- QUC 7763 best sign of commitment = **funds allocated annually to improve information systems** (bad: small group decides, aggressive reporting, earnings-projection pressure).

Risk
A4.3

Responses: **accept · treat (reduce, via controls) · transfer · avoid**. Inherent (gross) → managed + **residual (net)**; profit rewards residual risk.
Reporting risks: **Inherent** (susceptible absent controls) · **Control** (controls fail to prevent/detect/correct timely; QUC 128) · **Detection** (auditors fail to find). Control risk factors: control consciousness, design (segregation), communication, consistent application, independent checks, monitoring.

Segregation of duties
A4.4

Separate: **Authorization · Recordkeeping · Custody · Reconciliation**. Does not stop collusion.
Sales: A/R adjuster ≠ payment poster; cash custodian ≠ write-off approver; deposit preparer ≠ bank reconciler. Purchases: PO issuer ≠ receiving recorder (fictitious vendor). Payroll: rates/hiring/prep/distribution/reconciliation separate.

> QUC 7646 violation: **cashier prepares weekly deposit slip for all receipts** (custody + recording; not timely).

IS: separate requirement, authorization, development, review, implementation. **Compensating controls** when separation impossible: audit trails, application reconciliation, exception reports at supervisory level, transaction logs, supervisory review.

Safeguarding assets
A4.5

Access limited to authorized personnel (physical + indirect via documents). Cash: registers, lockbox, intact daily deposits, treasury custody, pre-numbered forms, **3-way match** (PO + invoice + receiving report) then cancel vouchers. Credit memos/write-offs approved independently of sales/credit. Payroll from approved time cards; checks distributed by treasury; unclaimed checks held independently. Securities: dual control. Physical: locks/biometrics, deadman doors, alarms, cameras, guards, color badges, escorted visitors, single entry, bonded staff. Logical: passwords, biometrics, encryption, firewalls, anti-malware, backups. Reconcile records to assets by an **independent person**; frequency by value/cost (cash daily, inventory less often).

Working capital
A5.1

NWC = Current assets − Current liabilities. Goal: minimize operating cycle (acquire → hold → sell → collect) and cash cycle (operating cycle − payables days). More liquid = lower return; shorter liabilities = cheaper.
Policies: **Aggressive** (ST liabilities fund longer assets; high return, insolvency risk) · **Conservative** (LT financing of CA; lowest return) · **Maturity matching**.

> QUC 12090: cash↓ + fixed assets↑ → **NWC decreases** (cash ↔ inventory, cash↓+A/P↓: no change; cash↑ via LTD: increase). QUC 6882: finance a machine with **retained earnings or long-term loan**.

Cash
A5.2

Motives: **transaction, speculation, precautionary** (not "profit", QUC 6189). Level depends on revenue pattern/seasonality, opex, contingencies, opportunities, market. Forecast deficit → arrange ST financing; surplus → invest.

Receivables management
A5.3

Credit policy (top mgmt sets, credit dept applies): period, standards, limits, discount %/period; balance vs **default (credit) risk**. Longer period / relaxed standards → ↑sales, ↑A/R, ↑bad debts & collection cost. Cash discount → faster collection.
Factoring = selling A/R below face (QUC 589). With recourse = sale only if seller surrenders control, recourse estimable, no forced repurchase; else borrowing. Without recourse = factor bears default risk (costlier): Dr Cash, Dr Loss on sale, Cr A/R.

Inventory management
A5.4

Types: raw materials, WIP, finished goods, materials & supplies (untraceable). Reasons to hold: supply/demand gaps, process delays, quantity discounts, level operations, avoid stockouts. Questions: when? how much?
Ordering costs (placing orders, lost discounts) · **Carrying** (storage, freight-in & insurance on shipment, facility rent/depreciation, insurance, property tax, security, spoilage/theft/obsolescence, opportunity cost) · **Stockout** (lost goodwill/profit; mind lead time). QUC 6214 shipping-out is **not** carrying.
JIT: demand-driven, no warehousing, needs reliable suppliers (small safety stock), exposes inefficiencies; ↓**carrying,** ↑**stockout**.
MRP: computer system converts master production schedule into purchasing/production schedule; tracks levels, orders, lead times.

Accounts payable
A5.6

Use trade credit only when cheaper than other funding (cost depends on discount offered). Cycle: requisition → **PO (legally binding)** → validate receipt (receiving report) → vendor invoice → **3-way match** → approval → record liability → payment authorization → payment → documentation/reconciliation (vendor statements) → confirmation. Benefits: trade credit, no late fees, tracking, fraud prevention (duplicates), cash-flow smoothing, supplier relations, better reporting.

SECTION B

Cash (sales) discounts: 2/10, n/30 — B1.1

Gross method: record at gross; discount taken → Dr Cash 1,960, Dr Sales Discount 40 / Cr A/R 2,000 (deduction from sales). **Net method**: record 4,900; late payment → Dr A/R 60 / Cr **Sales Discount Forfeited** (Other Revenue). A/R recorded net of **trade** discounts. Notes receivable = written promise (current/noncurrent by maturity). Nontrade receivables reported separately.

Receivables valuation & allowance — B1.2

Short-term at **net realizable value**; noncurrent at **present value**. Allowance method: Dr Bad Debt Expense / Cr Allowance (contra-asset).

% of sales (IS approach): expense = % × credit sales, ignore existing allowance (1% × 10M = 100,000).

% of receivables / aging (BS approach): required ending allowance − existing balance = expense. Aging: 420k×3% + 18k×10% + 14k×30% + 50k×75% = 56,100; less 12,500 existing = **43,600**.

Roll-forwards: A/R: Beg + credit sales − collections − write-offs = End. Allowance: Beg + expense + recoveries − write-offs = End.

> QUC 7398 collection pattern 60/25/15: May 1 A/R = 15% × March + 40% × April = 0.15×280k + 0.40×260k = **146,000**.

Inventory: product vs period cost — B1.4

Capitalize: purchase price, **freight-in**, insurance in transit, DM + DL + factory OH, (sometimes) purchasing dept costs, interest on self-constructed/discrete-project assets. **Expense (period)**: selling, G&A, **freight-out**, general interest.

Periodic: COGS = Beg inv + Purchases − Purchase returns − End inv (count). Perpetual: continuous records; annual count reconciles.

Ownership · FIFO / LIFO — B1.5

Consigned goods → **consignor's** inventory (incl. freight to consignee). **FOB shipping point** → **buyer's** (title at carrier). **FOB destination** → **seller's** until buyer's dock.

	FIFO	LIFO
COGS from	Oldest costs	Newest costs
Rising prices	**Lowest COGS, highest NI & ending inv.**	Highest COGS, lowest NI
Periodic vs perpetual	Same	May differ

Parts Co.: 2,000@5.00, +1,500@5.40, sell 700, +400@5.65, sell 1,300 → FIFO COGS 10,000 / EI 10,360; LIFO COGS 10,860 / EI 9,500. QUC 12113 FIFO EI 11,500 units all from purchases at 7.50 = **86,250**.

PP&E & depreciation (cost 1,000,000; salvage 100,000; 5 yr; 20,000 hr) — B1.6

Cost = all to make ready: price, taxes/duties, transport-in, installation/trial runs, construction-period interest (expense after ready).

Straight-line $\frac{\text{Cost} - \text{Salvage}}{\text{Life}}$ = 900,000 ÷ 5 = **180,000** /yr

Activity $\frac{\text{Cost} - \text{Salvage}}{\text{Capacity}}$ × usage = 45/hr × 3,000 = **135,000**

SYD (Cost − Salvage) × $\frac{\text{remaining life}}{n(n+1)/2 = 15}$ → 300k, 240k, 180k, 120k, 60k

Double-declining Book value × 2/n (ignore salvage until floor) → 400k, 240k, 144k, 86.4k, **29.6k** (to BV 100k)

> DB vs SL early years: higher depreciation, lower NI, higher accum. dep., lower RE; gross fixed assets same. QUC 7000 SYD 250k/50k/5yr: Y3 = 200k×3/15 = **40,000**; accum = 200k×12/15 = **160,000**.

Intangibles — B1.7

Purchased → cost (incl. prep costs); by exchange → fair value given or received (more reliable). Internally created → direct costs only (legal fees); **R&D expensed always**; **internal goodwill never capitalized** (only via acquisition). Finite life → amortize (cost − residual); indefinite → no amortization, impairment test yearly.

Asset retirement — B1.8

Sale, exchange, abandonment, involuntary conversion. Depreciate to retirement date; remove asset + accum. dep.; proceeds − BV = gain/loss, **below operating income in continuing ops**. QUC 1478 BV 700k − 495k = 205k; gain 75k → price **280,000**.

Liabilities: current vs long-term — B1.9

Exclude from current liabilities a debt due within a year if (1) settled from non-current assets (dedicated fund) or (2) **intent AND ability to refinance** (actual LT refinancing before issuance, or non-cancelable agreement). QUC 546 both 140k (refinanced Feb 1) and 200k (agreement Feb 7) excluded = **340,000**.

Financing sources — B1.10

Short-term: trade credit; unsecured bank loans (promissory note; **line of credit** = if available; **revolving credit** = guaranteed); **compensating balances** raise effective rate; commercial paper; secured (pledged A/R or inventory: field warehousing, warehouse receipts; chattel mortgage on movables; repurchase agreement); factoring; bankers' acceptances. Long-term: term loans, leases, bonds (large reputable firms); higher rates for maturity risk.

Revenue: 5 steps (asset-liability approach) — B1.11

Core: recognize revenue depicting transfer of goods/services in the amount the entity expects to be entitled to.

1. **Contract**: approved/committed, rights identifiable, payment terms, commercial substance, collection probable. Not met + cash received → liability until nonrefundable and obligations done/terminated.
2. **Performance obligations**: each **distinct** (separately beneficial AND separately identifiable). Software + separately sold support = 2; software + heavy customization = 1.
3. **Transaction price** (excl. sales tax): variable → **expected value** (many outcomes: 0.5×360k + 0.3×320k + 0.2×300k = 336,000) or **most likely** (2 outcomes); **financing** if >1 yr (13,310 due in 3 yrs, cash price 10,000 → revenue 10,000; interest 1,000/1,100/1,210 at 10%); noncash → fair value; rebates/coupons **reduce** price (5% probable rebate on 200k → 190,000).
4. **Allocate** by relative standalone selling price: 300k contract; SSP 250k + 3×50k = 400k → license 187,500, support 112,500.
5. **Recognize** when/as **control** transfers (see B1.12).

Over time vs point in time — B1.12

Over time if any: customer consumes as you perform (services, support); you build/enhance a customer-controlled asset (building on their land); no alternative use **and** enforceable right to payment for work to date. Measure by **output** (units, milestones) or **input** (cost-to-cost most common; straight-line if even). Support 112,500 ÷ 3 = 37,500/yr.

Point in time indicators: right to payment, legal title, possession, risks & rewards, acceptance. Warehouse with refundable deposit + pay on completion → point in time; progress payments + no alternative use + full right to consideration → over time.

> QUC 11810: 100k gal × $3, 50k delivered by year-end → revenue **150,000** regardless of cash. QUC 525: annual lawn fee paid in advance → **over the year as performed**.

Special revenue cases — B1.13

- **Right of return**: revenue only for expected keeps; refund liability (allowance for returns, contra-revenue); asset for expected returned goods. 40 × 1,000 (cost 800), 4 expected back → net sales 36,000.
- **Repurchase agreements**: forward/call → lease if repurchase < original price; financing if ≥. Put → sale with return if no incentive; lease if incentive & repurchase < original; financing if ≥ original and > market.
- **Bill-and-hold**: control passes if substantive reason, product identified, ready to ship, can't be redirected.
- **Principal** (controls good) → gross; **agent** (arranges) → net commission. Agent signs: other party fulfills, no inventory risk, no pricing discretion, commission, no credit risk.
- **Consignment**: consignor keeps title/inventory (+freight); revenue on **notification**; consignee books commission + payable. COGS = (10k/30k) × 31,500 = 10,500.

Expense recognition (3 methods) — B1.14

Cause and effect (matching): COGS, sales-return allowance, bad-debt allowance, warranties. **Systematic & rational allocation**: depreciation, prepaid insurance, interest/leases by time. **Immediate**: officers' salaries, G&A, worthless patent.

Equity — B1.15

Common stock: vote, residual claim; par / no-par; book value = (assets − liabilities − preferred) ÷ common shares. Issue 1,000 × $50 par at $75: Dr Cash 75,000 / Cr Common 50,000 / Cr APIC 25,000. Pre-emptive right value (rights-on) = (price − subscription) ÷ (rights per share + 1).
Preferred: dividend preference, priority after debt; usually no vote; not guaranteed until declared; may be convertible, callable, sinking fund, participating. **Cumulative**: arrears (not a liability until declared) paid before common.
Treasury stock: issued, **not outstanding** (no vote/dividend); Dr Treasury / Cr Cash; contra-equity; reduces assets and equity. Reasons: boost EPS/ROE, support price, shares for compensation.
Retained earnings: free vs appropriated (board). **AOCI**: bypasses IS and RE; permanent.

Adjustments to prior periods — B1.16

Event	Treatment
Prior-period adjustment (error: cash→accrual, missed expense)	Opening RE, net of tax; not in current NI
Change in principle (avg cost→FIFO; completed-contract→POC)	Cumulative effect, net of tax, to opening RE (retroactive)
Change in estimate (life, salvage, collectability, **depreciation method**)	Prospective only

Dividends & splits — B1.17

Cash dividend = liability **at declaration**: Dr RE / Cr Dividends Payable; pay: Dr Div. Payable / Cr Cash.
Small stock dividend (<20–25%): RE at **fair value**; Cr Common (par) + APIC. **Large (>20–25%)**: RE at **par**. Split: memo entry only.

> QUC 12115: 5% × 100,000 × $18 = RE ↓ **90,000**. QUC 11813: cash dividend distributed + stock dividend declared → total equity change **$0** (cash dividend left equity at declaration; stock dividend reclassifies within equity).

Common-size analysis — B2.1

Vertical: each item ÷ same-year base. Base = **total assets** (BS, QUC 2419) or **net sales** (IS). "Advertising is 2% of sales" (QUC 6910). NI 120k ÷ sales 600k = **20%** (QUC 12057).
Horizontal (base year / trend / variation): item ÷ base-year item. Growth = index − 100. Salaries 622,310 ÷ 568,920 = 1.0938 → **9.38%** (QUC 12182). Largest % change (QUC 12059): inventory 500/600 = 83% → 17% beats sales 10%, NI 8%, assets 5%.
Future Tech signal: gross margin 25→19%, G&A 3→7%, inventory index 100→426, cash 25→6% of assets, CFO ≪ NI.

Liquidity ratios — B3.1

Current $\dfrac{\text{Current assets}}{\text{Current liabilities}}$

Quick (acid-test) $\dfrac{\text{CA} - \text{Inventory} - \text{Prepaids}}{\text{CL}} = \dfrac{\text{Cash} + \text{Mkt. sec.} + \text{Receivables}}{\text{CL}}$

Cash ratio $\dfrac{\text{Cash} + \text{Marketable securities}}{\text{CL}}$

Cash flow ratio $\dfrac{\text{Cash flow from operations}}{\text{Average CL}}$

NWC / NWC ratio CA − CL · NWC ÷ Total assets

> QUC 11968: CL 2.0M, NWC 0.3M → CA 2.3M; quick 0.8 = (2.3M − Inv) ÷ 2.0M → Inventory **700,000**.

Leverage ratios
B3.2

Debt to assets $\frac{\text{Total debt (CL + LTD)}}{\text{Total assets}}$

creditors want low; cyclical firms keep low

Debt to equity $\frac{\text{Total debt}}{\text{Common equity}}$ optimal = minimizes WACC

LTD to equity $\frac{\text{Total debt} - \text{CL}}{\text{Common equity}}$

Times interest earned $\frac{\text{EBIT}}{\text{Interest expense}}$ =

20M ÷ 5M = **4** (QUC 11969)

> Lenders prefer high TIE with high debt over low TIE with low debt. Financial leverage: interest deductible, magnifies gains and losses. Operating leverage: high fixed costs magnify the effect of sales changes on operating income.

Activity ratios (360-day year)
B3.3

Inventory turnover $\frac{\text{COGS}}{\text{Average inventory}}$ ·

Days in inventory = 360 ÷ turnover

A/R turnover $\frac{\text{Net credit sales}}{\text{Average receivables}}$ · DSO = 360 ÷ turnover

A/P turnover $\frac{\text{Net credit purchases}}{\text{Average payables}}$ ·

Days payables = 360 ÷ turnover

Operating cycle Days inventory + Days receivables

Cash cycle

Days inventory + Days receivables − Days payables

Asset turnover $\frac{\text{Sales}}{\text{Avg total (or fixed) assets}}$

> QUC 6026: 3.6M ÷ [(320k + 400k)/2] = **10**. QUC 140: fictitious inventory → **total asset turnover falls** (current ratio rises; DSO, P/E unaffected).

Profitability ratios
B3.4

Gross margin $\frac{\text{Net sales} - \text{COGS}}{\text{Net sales}}$

Operating margin $\frac{\text{Operating income}}{\text{Net sales}}$

Net margin $\frac{\text{Net income}}{\text{Net sales}}$

ROA $\frac{\text{Net income}}{\text{Average total assets}}$

ROE $\frac{\text{Net income} - \text{Preferred dividends}}{\text{Average common equity}}$

> **ROE > ROA → leverage is working.** Operating margin falling while gross margin holds → other operating costs out of control. QUC 6068 Beechwood: 96,000 ÷ avg equity [(300k+12k+155k) + (300k+28k+206k)] ÷ 2 = 500,500 → **19.2%** (include reserve for bond retirement; exclude bonds).

CALC: every quiz calculation in one place

QUC	Ask	Method	Answer
325	Net income from equity change	End equity − Beg equity − investments + withdrawals	12,000
1881	Cash flow from income	Income + non-cash expenses (depreciation, discount amortization); ignore cash interest	71,000
6106	Operating section total	Interest paid only (dividends = financing, equipment = investing)	250,000
7398	A/R balance May 1	Uncollected share of prior months: 15% × Mar + 40% × Apr	146,000
12113	FIFO ending inventory	Ending units × latest purchase cost (11,500 × 7.50)	86,250
7000	SYD year 3 / accumulated	(250k − 50k) × 3/15; × 12/15	40,000 / 160,000
1478	Selling price of asset	Book value (cost − accum. dep.) + gain	280,000
546	ST debt excludable from CL	Refinanced or non-cancelable agreement before issuance: both	340,000
12115	Small stock dividend, RE effect	Shares × % × market price (5% × 100,000 × 18)	−90,000
11810	Revenue year 1	Units delivered × price (50,000 × 3)	150,000
11813	Equity change: cash div paid + stock div declared	Cash dividend already out at declaration; stock dividend internal	0
12057	Common-size NI	NI ÷ sales (120k ÷ 600k)	20%
12059	Largest horizontal change	Current ÷ prior for each; inventory 500/600 = 83%	Inventory (−17%)
12182	Growth rate	(622,310 ÷ 568,920) − 1	9.38%
6026	A/R turnover	Credit sales ÷ average A/R (3.6M ÷ 360k)	10.0
6068	ROE	NI ÷ average total equity (96,000 ÷ 500,500)	19.2%
11968	Inventory from quick ratio	CA = NWC + CL; Inv = CA − quick × CL	700,000
11969	Times interest earned	EBIT ÷ interest (20M ÷ 5M)	4
guide	Aging allowance expense	Required allowance (Σ bucket × %) − existing balance (56,100 − 12,500)	43,600
guide	Expected value price	Σ probability × outcome (0.5×360k + 0.3×320k + 0.2×300k)	336,000
guide	Allocate price to obligations	Price × SSP share (300k × 250/400; 300k × 150/400)	187,500 / 112,500
guide	Financing component	Revenue = cash price; interest = 10% × carrying amount each year	10,000; 1,000/1,100/1,210
guide	Consignment COGS	Cost sold ÷ cost shipped × (cost + freight)	10,500
guide	Indirect method CFO	NI 40,000 + 18,000 − 4,000 + 5,000 − 10,000 − 3,000 − 8,000	38,000
guide	DDB final year	Book value − salvage (129,600 − 100,000)	29,600